

Maximum Marks: 100

Date: 04-October-2022

Duration: 03 Hours

Instructions:

1. Your answers including explanations, observations, arguments, data and figures must be included in the answer book. Answer up to two decimal points wherever applicable.
2. Show formula and calculation/derivation for ATLEAST ONE YEAR of all financial ratios used in answering the below requirements. Marks will not be awarded in case calculations are not shown. Prepare a summary table of all financial ratios in response to each question given below.
3. Financial Ratios calculated without any meaningful interpretations or interpretations without appropriate and accurately calculated financial ratios do not make a valid answer. Your scores depend on the quality of financial ratios used and the depth of observations/interpretation to draw the conclusions.

Questions: Reference Case – Dodla Dairy Products Ltd. – Analyzing Performance

Q. 1	Making use of suitable financial ratios and other available relevant information, prepare a report on trends in Profitability of the company and comment on its performance. What other information do you require to make your report better?	(40)
Q. 2	Making use of suitable financial ratios and other available relevant information, prepare a report on trends in Liquidity and Asset Efficiency of the company and comment on its performance. What other information do you require to make your report better?	(30)
Q. 3	Making use of suitable financial ratios and other available relevant information, prepare a report on trends in Solvency and Cash Flows of the company and comment on its performance. What other information do you require to make your report better?	(20)
The following question is not related to the above questions/situation.		
Q. 4	How can various accounting policies, estimates and assumptions adopted by a firm's management influence the quality of earnings? Support your answer with the help of examples wherever possible.	(10)

Dodla Dairy is an integrated dairy company based in south India primarily deriving all of its revenue from the sale of milk and dairy based VAPs in the branded consumer market. The company's operations in India are primarily across the five Indian states of Andhra Pradesh, Telangana, Karnataka, Tamil Nadu and Maharashtra. Its overseas operations are based in Uganda and Kenya. Its Indian operations are undertaken under its brands "Dodla Dairy", "Dodla" and "KC+". Its overseas operations are undertaken under brands "Dodla Dairy", "Dairy Top" and "Dodla+". It processes and sells retail milk (full cream, standardised, toned and double toned) and produce dairy based value-added products (VAPs) such as curd, Ultra-High Temperature processed (UHT) milk, ghee, butter, flavoured milk and ice cream amongst others. It also manufactures and sell cattle feed to farmers through its procurement network.

Its integrated business model in India consists of procurement, processing, distribution and marketing operations. Its procurement operations are spread across the states of Andhra Pradesh, Telangana, Tamil Nadu, Karnataka and Maharashtra.

The company is an integrated dairy company in South India that is engaged in the procurement, processing, distribution, and marketing of milk and other dairy products. It processes and sells milk including standardized, toned, and double toned milk, and produces dairy products like curd, butter, ghee, ice cream, flavoured milk, etc.

Dodla Dairy Products Ltd. Statement of Profit and Loss for the 12 months ending on 31st (Standalone) INR in Million

	Particulars	Mar 2022	Mar 2021	Mar 2020	Mar 2019	Mar 2018
	Net Sales	127407.24	111025.1	106166.68	95205.98	85747.34
Less:	EXPENDITURE:					
	Increase/Decrease in Stock	1021.88	-3012.46	1466.7	1047.4	-2023.76
	Raw Materials Consumed	87144.24	78845.14	73753.18	65803.98	63698.74
	Power & Fuel Cost	3267.28	2545.1	2598.56	2219.4	1693.48
	Employee Cost	4200.42	3695.5	3354.16	3118.48	2816.8
	Other Manufacturing Expenses	6345.54	4695.58	5011.3	3966.64	2935.92
	General and Administration Expenses	3068.54	2297.28	2518.58	3351.56	3001.98
	Selling and Distribution Expenses	7360.42	5607.24	6093.14	6378.04	5951.2
	Miscellaneous Expenses	572.68	313.28	369.56	491.44	240.02
	Total Expenditure	112981	94986.66	95165.18	86376.94	78314.38
	Operating Profit (Excl OI)	14,426.24	16,038.44	11,001.50	8,829.04	7,432.96
Add:	Other Income	196.26	115.28	173.02	120.96	166.3
	Operating Profit	14,622.50	16,153.72	11,174.52	8,950.00	7,599.26
Less:	Interest	2132.58	2165.7	2117.02	1714.46	1752.76
	PBDT	12,489.92	13,988.02	9,057.50	7,235.54	5,846.50
Less:	Depreciation	6215.48	5900	5929.64	4011.88	3472.88
	Profit Before Tax	6,274.44	8,088.02	3,127.86	3,223.66	2,373.62
Less:	Provision for Tax	1309.48	2616.44	882.42	926.72	556.9
	Profits After Tax	4,964.96	5,471.58	2,245.44	2,296.94	1,816.72
	Earnings Per Share	23.04	25.38	13.88	14.38	11.94
	Adjusted EPS	23.04	25.38	10.42	10.78	8.84

Dodla Dairy Products Ltd. Balance Sheet as on 31st (Standalone) INR in Million

	Mar-22	Mar-21	Mar-20	Mar-19	Mar-18	Mar-17
LIABILITIES						
Shareholder's Funds						
Equity Share Capital	431.2	431.2	323.42	319.62	304.4	304.4
Total Reserves	21744.1	19999	17766.16	15773.92	7006.22	6667.86
Total Shareholder's Funds	22175.3	20430.2	18089.6	16093.5	7310.62	6972.26
Long-Term Borrowings						
Secured Loans	15689.18	10581.86	12014.82	10047.9	10841.4	7387.1
Unsecured Loans	0	133.34	266.66	0	0	0
Deferred Tax Assets / Liabilities	940.72	1445.64	1103.92	793.8	561.5	550.22
Other Long Term Liabilities	3626.24	3001.12	3664.04	12.2	15.32	16.12
Total Non-Current Liabilities	20256.1	15162	17049.4	10853.9	11418.2	7953.44
Current Liabilities						
Trade Payables	2931.86	2800.36	2841.22	3552.58	3428.6	3400.54
Other Current Liabilities	13703.66	12307.98	10258.36	9648.64	9093.04	6949.74
Short Term Borrowings	11419.64	11322.56	5933.74	4684.48	9339.74	6409.7
Short Term Provisions	346.76	317.6	112.9	83.42	42.18	68.8
Total Current Liabilities	28401.9	26748.5	19146.2	17969.1	21903.6	16828.8
Total Liabilities	70833.4	62340.7	54285.2	44916.6	40632.4	31754.5
ASSETS						
Non-Current Assets						
Gross Block	71252.3	57356.1	48690.9	36514.86	28896.16	21827.62
Less: Accumulated Depreciation	23059.8	18774.02	13575.36	8358.72	4564.04	2000.14
Net Block	48192.5	38582.1	35115.5	28156.1	24332.1	19827.5
Capital Work in Progress	4741.5	7688.72	7091.48	4663.02	5186.7	1805.48
Non Current Investments	270.2	166	2.38	2.4	2.52	5.02
Long Term Loans & Advances	1638.18	1544.42	2110.16	1280.4	1411.54	1713.86
Total Non-Current Assets	54842.4	47981.2	44319.6	34102	30932.9	23351.8
Current Assets Loans & Advances						
Inventories	12183.46	11395.42	7479.1	8068.14	7674.64	5930.64
Sundry Debtors	155.56	181.48	291.02	165.02	141.04	819.1
Cash and Bank	793.36	784.94	893.98	728.22	656.84	1106.4
Other Current Assets	700.6	204	191.1	476.72	451.78	178.86
Short Term Loans and Advances	2158	1793.6	1110.48	1376.5	775.22	367.64
Total Current Assets	15991	14359.4	9965.68	10814.6	9699.52	8402.64
Total Assets	70833.4	62340.7	54285.2	44916.6	40632.4	31754.5

Note: All data and information included in this question paper has been extracted form ACE Equity database by Accord Fintech Pvt. Ltd. subscribed/licensed by Nirma University Library.

Dodla Dairy Products Ltd. Statement of Cash Flow for the 12 months ending on 31st (Standalone)
INR in Million

Particulars	Mar 2022	Mar 2021	Mar 2020	Mar 2019	Mar 2018
Cash From Operating Activities	11527.5	10358.48	11038.7	7500.8	5541.64
Cash Flow from Investing Activities	-11302.3	-8366.1	-10741.3	-6856.38	-10457.1
Purchase of Fixed Assets	-11854	-8332.26	-10925.9	-7026.84	-10657
Sale of Fixed Assets	457.68	76.42	127.54	179.02	143.46
Purchase of Investment	-10883.6	-8973.32	-1480	0	0
Sale of Investments	10783.48	8812.66	1480.84	0.12	2.5
Interest Income	36.76	63.08	62.24	40.6	54.38
Other Investment Activities	157.38	-12.68	-6.04	-49.28	-0.42
Cash from Financing Activities	-164.44	-2124.74	-136.52	-621.5	4458.48
Increase / (Decrease) in Loan Funds	5739.36	-1495.8	2139.04	-775.58	4668.84
Short Term Loans	97.08	5388.8	1249.26	-4655.26	2930.04
Proceeds from Issue of Equity Share	0	0.24	2104.02	8369.18	0
Equity Dividend Paid	-2586.76	-2586.84	-2320.6	-1871.16	-1211.7
Interest Paid	-2153.82	-2278.7	-2047.02	-1688.34	-1675.24
Income tax on dividend paid	0	0	0	0	-253.48
Other Financial Activities	-1260.3	-1152.46	-1261.24	-0.34	0
Net Cash Inflow / Outflow	60.72	-132.36	160.84	22.9	-457
Opening Cash & Cash Equivalents	681.48	813.82	652.98	630.08	1087.08
Closing Cash & Cash Equivalent	742.2	681.48	813.82	652.98	630.08

Consumer Food Industry Financial Ratios (Year Ending 31st March)					
Particulars	2022	2021	2020	2019	2018
No Of Companies	36	295	308	359	479
Core EBITDA Margin(%)	11.49	10.43	8.68	8.15	8.68
EBIT Margin(%)	10.53	9.03	7.18	6.74	7.62
Pre Tax Margin(%)	9.34	7.84	5.89	5.57	6.28
ROA (%)	16.56	12.86	10.25	8.25	9.93
ROE (%)	21.07	16.38	13.03	10.6	12.82
ROCE (%)	112.81	72.34	54.39	50.19	53.5
Asset Turnover(x)	2.26	2.26	2.43	2.46	2.51
Sales/Fixed Asset(x)	3.15	2.97	3.15	3.43	3.47
Working Capital/Sales(x)	254.35	14.18	17.48	14.46	14.94
Fixed Capital/Sales(x)	0.32	0.34	0.32	0.29	0.29
Receivable days	11.74	21.56	24.08	26.66	27.75
Inventory Days	33.27	49.86	44.59	43.35	45.82
Payable days	31.27	37.76	38.38	39.61	37.37
Net Sales Growth(%)	22.06	0.92	3.71	7.51	4.22
Core EBITDA Growth(%)	2.73	21.3	13.63	-2.21	16.05
EBIT Growth(%)	3.88	24.23	17.45	-10.12	15.08
PAT Growth(%)	10.52	31.34	42	-19.8	10.07
Total Debt/Equity(%)	0.27	0.26	0.25	0.26	0.26
Current Ratio(x)	1.18	1.4	1.32	1.37	1.35
Quick Ratio(x)	0.61	0.73	0.75	0.84	0.8
Interest Cover(x)	8.82	7.58	5.55	5.73	5.68
